Giving Them Credit

The sector will need some more hand-holding as it strains to recover from the effects of Covid-19 and the Ukraine war

By M.G. Arun

IF THERE WAS ONE sector that took the hardest hit from Covid-19, it was the Micro, Small and Medium Enterprises (MSMEs). The backbone of the Indian economy, contributing 30 per cent to the GDP and employing over 113 million people, it reportedly saw thousands of units shutting down. Conscious of their plight, thanks to the large-scale migration of out-of-work people back to their homes, the Central government had to prioritise easing MSME woes, helping them financially, besides focusing on skill training and technology upgradation.

Succour came a couple of months after the lockdown in March 2020, when an Emergency Credit Line Guarantee Scheme for MSMEs was announced. As of November 2022, 11.9 million loans had been sanctioned under it, comprising 71 per cent of the Rs 5 lakh crore limit. Also, Union MSME minister Narayan Rane's predecessor, Nitin Gadkari, had already taken three key steps during his term. For one, new classification rules made more units eligible for funding. Then, the manufacturing and services industries were brought on par. Finally, retail and wholesale traders, as also urban street vendors, were brought under the MSME umbrella. Budget 2023 has earmarked Rs 22,138 crore for the sector. The government has also promised to infuse Rs 9,000 crore into the credit guarantee scheme corpus, which will enable additional collateral-free guaranteed credit of Rs 2 lakh crore, with the credit cost reduced by 1 per cent. The turnover limit for micro units for presumptive taxation (where taxpayers have to calculate a percentage of their total revenue and pay taxes on that) has also been expanded from Rs 2 crore to Rs 3 crore.

Compliance, however, remains a headache. The sector has for long been demanding a smooth compliance system. The government recently mandated that MSMEs with over Rs 50 crore turnover must generate e-invoices. This can trouble midsize units lacking digital literacy. Some have also demanded a separate GST slab as MSMEs can't compete with big firms. There have also been calls for subsidised loans. A risk to exports, however, remains the largest worry, given geopolitical uncertainties. ■

BOLD & BRAVE

11.9 MILLION

No. of loans sanctioned under Emergency Credit Line Guarantee Scheme for MSMEs, as of Nov. 2022

MUDRA loans to MSMEs

↑ 34.7% Growth



BUT...

WHAT MSMEs WANT

- A simpler compliance structure
- A separate GST slab for MSME products



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